

are not from the same city among Chennai, Bengaluru and Vellore

Question Number : 262 Question Id : 6406531250546 Question Type : MSQ

Correct Marks : 5 Max. Selectable Options : 0

Question Label : Multiple Select Question

Which of the following statements is/are correct after psuedocode is executed ?

Options :

6406534213717. ✔ **studyPair(Pile CHN)** will give the number of study pairs where both students in the pair are from Chennai.

6406534213718. ✖ **studyPair(Pile CHN)** will give the number of study pairs where both students in the pair are not from Chennai.

6406534213719. ✔ **count3** represents number of study pairs where both students in the pair are not from the same city among Chennai, Bengaluru and Vellore

6406534213720. ✖ **count3** represents number of study pairs where both students in the pair are from the same city among Chennai, Bengaluru and Vellore

Managerial Economics

Section Id :	64065387587
Section Number :	10
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	13
Number of Questions to be attempted :	13
Section Marks :	45
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653194184
Question Shuffling Allowed :	No

Question Number : 263 Question Id : 6406531250547 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : MANAGERIAL ECONOMICS (COMPUTER BASED EXAM)"

**ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?
CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.**

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406534213721. ✓ YES

6406534213722. ✗ NO

Sub-Section Number :

2

Sub-Section Id :

640653194185

Question Shuffling Allowed :

No

Question Id : 6406531250548 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (264 to 265)

Question Label : Comprehension

There are 50 low-risk people in a town and 50 high-risk people. A low-risk person has an average of \$500 in medical expenses each year and is willing to pay \$800 for medical insurance (this person is risk averse). A high-risk person has an average of \$1,200 in medical expenses each year and is willing to pay \$1,500 for medical insurance. Insurance companies are unable to differentiate who is high-risk and who is low risk.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 264 Question Id : 6406531250549 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

If the insurance provider offered medical insurance at a price of \$1,000

Options :

6406534213723. ✗ Everyone will enroll for the insurance irrespective of the type

6406534213724. ✓ The provider will lose money

6406534213725. ✗ Both everyone will enroll for the insurance irrespective of the type & the provider will lose money

6406534213726. ✗ None

Question Number : 265 Question Id : 6406531250550 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

If the insurance company offered medical insurance at a price of \$1,300

Options :

6406534213727. ✖ low-risk people would not be insured

6406534213728. ✖ Total surplus will be \$10000 if the price is \$1300

6406534213729. ✔ Both low-risk people would not be insured & total surplus will be \$10000 if the price is \$1300

6406534213730. ✖ None

Sub-Section Number :

3

Sub-Section Id :

640653194186

Question Shuffling Allowed :

No

Question Id : 6406531250551 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (266 to 267)

Question Label : Comprehension

A beekeeper lives adjacent to an apple orchard. The orchard owner benefits from the bees because each hive pollinates about one acre of apple trees. The orchard owner pays nothing for this service, however, because the bees come to the orchard without him having to do anything. Because there are not enough bees to pollinate the entire orchard, the orchard owner must complete the pollination by artificial means, at a cost of \$10 per acre of trees.

Beekeeping has a marginal cost $MC = 10 + 5Q$, where Q is the number of beehives. Each hive yields \$40 worth of honey.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 266 Question Id : 6406531250552 Question Type : SA

Correct Marks : 2

Question Label : Short Answer Question

What should be the socially efficient number of hives that the beekeeper should maintain _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

8

Question Number : 267 Question Id : 6406531250553 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

How many beehives will the beekeeper maintain if we ignore the apple orchard _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

6

Question Id : 6406531250554 Question Type : COMPREHENSION Sub Question Shuffling

Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (268 to 270)

Question Label : Comprehension

A monopolist faces the demand curve $P = 11 - Q$, where P is measured in dollars per unit and Q in thousands of units. The monopolist has a constant average cost of \$6 per unit. Answer the given subquestions

Sub questions

Question Number : 268 Question Id : 6406531250555 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What are the monopolist's profit-maximizing price and quantity?

Options :

6406534213733. ✖ Profit maximizing price = 2.5 and Profit maximizing quantity = 4500

6406534213734. ✔ Profit maximizing price = 8.5 and Profit maximizing quantity = 2500

6406534213735. ✖ Profit maximizing price = 4.5 and Profit maximizing quantity = 8500

6406534213736. ✖ Profit maximizing price = 5.5 and Profit maximizing quantity = 2500

Question Number : 269 Question Id : 6406531250556 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The resulting profit will be

Options :

6406534213737. ✖ 4250

6406534213738. ✔ 6250

6406534213739. ✖ 5060

6406534213740. ✖ 6850

Question Number : 270 Question Id : 6406531250557 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Calculate the firm's degree of monopoly power using the Lerner index

Options :

6406534213741. ✖ 0.349

6406534213742. ✖ 0.249

6406534213743. ✔ 0.294

6406534213744. ✖ 0.394

Sub-Section Number :

4

Sub-Section Id :

640653194187

Question Shuffling Allowed :

No

Question Id : 6406531250558 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Question Numbers : (271 to 280)

Question Label : Comprehension

Suppose two firms operate in a market and can produce at a constant average (and marginal) cost of $AC = MC = \$5$. Let Q_1 be the output of the first firm and Q_2 be the output of the second. Market demand is given by $Q_1 + Q_2 = 53 - P$. Assuming that the firms are competing as per the Cournot competition and answer the given subquestions.

Sub questions

Question Number : 271 Question Id : 6406531250559 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Suppose two firms operate in a market and can produce at a constant average (and marginal) cost of $AC = MC = \$5$. Let Q_1 be the output of the first firm and Q_2 be the output of the second. Market demand is given by $Q_1 + Q_2 = 53 - P$. Assuming that the firms are competing as per the Cournot competition.

Find out the equilibrium quantity for firm 1 $Q_1^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

16

Question Number : 272 Question Id : 6406531250560 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Suppose two firms operate in a market and can produce at a constant average (and marginal) cost of $AC = MC = \$5$. Let Q_1 be the output of the first firm and Q_2 be the output of the second. Market demand is given by $Q_1 + Q_2 = 53 - P$. Assuming that the firms are competing as per the Cournot competition.

Find out the equilibrium quantity for firm 2 $Q_2^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

16

Question Number : 273 Question Id : 6406531250561 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Suppose two firms operate in a market and can produce at a constant average (and marginal) cost of $AC = MC = \$5$. Let Q_1 be the output of the first firm and Q_2 be the output of the second. Market demand is given by $Q_1 + Q_2 = 53 - P$. Assuming that the firms are competing as per the Cournot competition.

Find out the equilibrium price $P^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

21

Question Number : 274 Question Id : 6406531250562 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Suppose two firms operate in a market and can produce at a constant average (and marginal) cost of $AC = MC = \$5$. Let Q_1 be the output of the first firm and Q_2 be the output of the second. Market demand is given by $Q_1 + Q_2 = 53 - P$. Assuming that the firms are competing as per the Cournot competition.

Find out the equilibrium profit for firm 1 $\pi_1 =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

256

Question Number : 275 Question Id : 6406531250563 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Suppose two firms operate in a market and can produce at a constant average (and marginal) cost of $AC = MC = \$5$. Let Q_1 be the output of the first firm and Q_2 be the output of the second. Market demand is given by $Q_1 + Q_2 = 53 - P$. Assuming that the firms are competing as per the Cournot competition.

Find out the equilibrium profit for firm 2 $\pi_2 =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

256

Question Number : 276 Question Id : 6406531250564 Question Type : SA

Correct Marks : 2

Question Label : Short Answer Question

Now suppose that the two firms are competing in the Stackelberg manner where one of the firms makes its output decision before the other. Suppose Firm 1 is the Stackelberg leader (i.e., makes its output decisions before Firm 2).

Calculate the equilibrium quantity for the firm 1 $Q_1^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

24

Question Number : 277 Question Id : 6406531250565 Question Type : SA

Correct Marks : 2

Question Label : Short Answer Question

Now suppose that the two firms are competing in the Stackelberg manner where one of the firms makes its output decision before the other. Suppose Firm 1 is the Stackelberg leader (i.e., makes its output decisions before Firm 2).

Calculate the equilibrium quantity for the firm 2 $Q_2^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

12

Question Number : 278 Question Id : 6406531250566 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Now suppose that the two firms are competing in the Stackelberg manner where one of the firms makes its output decision before the other. Suppose Firm 1 is the Stackelberg leader (i.e., makes its output decisions before Firm 2).

Calculate the equilibrium for the firm market price $P^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

17

Question Number : 279 Question Id : 6406531250567 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Now suppose that the two firms are competing in the Stackelberg manner where one of the firms makes its output decision before the other. Suppose Firm 1 is the Stackelberg leader (i.e., makes its output decisions before Firm 2).

Calculate the equilibrium profits (π_1) of the firm 1 $\pi_1 =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

288

Question Number : 280 Question Id : 6406531250568 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Now suppose that the two firms are competing in the Stackelberg manner where one of the firms makes its output decision before the other. Suppose Firm 1 is the Stackelberg leader (i.e., makes

its output decisions before Firm 2).

Calculate the equilibrium profits (π_2) of the firm 2 $\pi_2 =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

144

Sub-Section Number :

5

Sub-Section Id :

640653194188

Question Shuffling Allowed :

No

Question Id : 6406531250569 **Question Type :** COMPREHENSION **Sub Question Shuffling**

Allowed : No **Group Comprehension Questions :** No **Question Pattern Type :** NonMatrix

Question Numbers : (281 to 287)

Question Label : Comprehension

Two used car dealerships compete side by side on a main road. The first, Hamid's Cars, always sells high-quality cars that it carefully inspects and, if necessary, services. On average, it costs Hamid's \$7000 to buy and service each car that it sells. The second dealership, Latif's Motors, always sells lower-quality cars. On average, it costs Latif's only \$4000 for each car that it sells. If consumers knew the quality of the used cars they were buying, they would pay \$9,000 on average for Hamid's cars and only \$6000 on average for Latif's cars.

Without more information, consumers do not know the quality of each dealership's cars. In this case, they would figure that they have a 50-50 chance of ending up with a high quality car, and are thus willing to pay \$7500 for a car.

Hamid has an idea: He will offer a bumper-to-bumper warranty for all cars he sells. He knows that a warranty lasting Y years will cost \$500 Y on average, and he also knows that if Latif tries to offer the same warranty, it will cost Latif \$1000 Y on average.

Suppose Hamid offers a one-year warranty on all of the cars he sells.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 281 **Question Id :** 6406531250570 **Question Type :** SA

Correct Marks : 1

Question Label : Short Answer Question

What is Latif's profit (per car in \$) if he does not offer a one-year warranty? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

2000

Question Number : 282 Question Id : 6406531250571 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

What is Latif's profit (per car in \$) if he offers a one-year warranty? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

2500

Question Number : 283 Question Id : 6406531250572 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

What is Hamid's profit (per car in \$) if Latif's does not offer a one-year warranty? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

1500

Question Number : 284 Question Id : 6406531250573 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

What is Hamid's profit (per car in \$) if Latif's offers a one-year warranty? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

0

Question Number : 285 Question Id : 6406531250574 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Will Latif's match Hamid's one-year warranty?

Options :

6406534213759. ✓ Yes

6406534213760. ✗ No

Question Number : 286 Question Id : 6406531250575 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Is it a good idea for Hamid's to offer a one-year warranty?

Options :

6406534213761. ✗ Yes

6406534213762. ✓ No

Question Number : 287 Question Id : 6406531250576 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What if Hamid offers a two-year warranty? Will this generate a credible signal of quality?

Options :

6406534213763. ✓ Yes

6406534213764. ✗ No

Sub-Section Number :

6

Sub-Section Id :

640653194189

Question Shuffling Allowed :

No

Question Id : 6406531250577 Question Type : COMPREHENSION Sub Question Shuffling

Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (288 to 297)

Question Label : Comprehension

The market demand curve for pizzas is $P=300-Q$ and the market supply curve is $P=60+2Q$. A tax of $t=15$ INR is imposed on one unit of pizza sold. Answer the given subquestions.

Sub questions

Question Number : 288 Question Id : 6406531250578 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The equilibrium quantity and price before incidence of tax are

Options :

6406534213765. ✗ $P^*=80$ INR, $Q^*=220$ units

6406534213766. ✓ $P^*=220$ INR, $Q^*=80$ units

6406534213767. ✗ $P^*=180$ INR, $Q^*=60$ units

6406534213768. ✖ P*=60 INR, Q*=180 units

Question Number : 289 Question Id : 6406531250579 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Consumer surplus before incidence of tax is

Options :

6406534213769. ✖ INR 4500

6406534213770. ✖ INR 2700

6406534213771. ✔ INR 3200

6406534213772. ✖ INR 4200

Question Number : 290 Question Id : 6406531250580 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Producer surplus before incidence of tax is

Options :

6406534213773. ✔ INR 6400

6406534213774. ✖ INR 4600

6406534213775. ✖ INR 3700

6406534213776. ✖ INR 2700

Question Number : 291 Question Id : 6406531250581 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The equilibrium quantity after the incidence of tax is

Options :

6406534213777. ✖ Q*=60 units

6406534213778. ✖ Q*=80 units

6406534213779. ✔ Q*=75 units

6406534213780. ✖ Q*=180 units

Question Number : 292 Question Id : 6406531250582 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The new price that buyer pays after incidence of tax is

Options :

6406534213781. ✖ P=220 INR

6406534213782. ✖ P=190 INR

6406534213783. ✖ P=180 INR

6406534213784. ✓ P=225 INR

Question Number : 293 Question Id : 6406531250583 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The net price received by the seller after incidence of tax

Options :

6406534213785. ✗ P=220 INR

6406534213786. ✗ P=225 INR

6406534213787. ✗ P=190 INR

6406534213788. ✓ P=210 INR

Question Number : 294 Question Id : 6406531250584 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The loss in consumer surplus due to incidence of tax is

Options :

6406534213789. ✗ 527.5 INR

6406534213790. ✓ 387.5 INR

6406534213791. ✗ 478.5 INR

6406534213792. ✗ 268.5 INR

Question Number : 295 Question Id : 6406531250585 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The loss in producer surplus due to incidence of tax is

Options :

6406534213793. ✗ INR 565

6406534213794. ✗ INR 845

6406534213795. ✓ INR 775

6406534213796. ✗ INR 695

Question Number : 296 Question Id : 6406531250586 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The total tax revenue is

Options :

6406534213797. ✗ INR 1255

6406534213798. ✗ INR 1075

6406534213799. ✗ INR 1535

6406534213800. ✓ INR 1125

Question Number : 297 Question Id : 6406531250587 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Deadweight loss of tax is

Options :

6406534213801. ✗ INR 48.5

6406534213802. ✓ INR 37.5

6406534213803. ✗ INR 89.5

6406534213804. ✗ INR 68.5

Sub-Section Number :

7

Sub-Section Id :

640653194190

Question Shuffling Allowed :

Yes

Question Number : 298 Question Id : 6406531250588 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is true about monopolistic competition

Options :

6406534213805. ✗ Firms compete by selling differentiated products that are highly, but not perfectly, substitutable

6406534213806. ✗ Entry and exit are free in the market

6406534213807. ✗ None

6406534213808. ✓ Both firms compete by selling differentiated products that are highly, but not perfectly, substitutable & entry and exit are free in the market

Question Number : 299 Question Id : 6406531250589 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Choose the correct statement

Options :

6406534213809. ✓ Quasi linear preferences are linear in one good and non-linear in other good

6406534213810. ✗ $U = \min\{ax, by\}$ represents substitutes

6406534213811. ✗ $U = ax+by$ represents complements

6406534213812. ✗ All of these

Question Number : 300 Question Id : 6406531250590 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The Cobb-Douglas production function $F(K, L) = K^{\alpha}L^{\beta}$

Options :

- 6406534213813. ✖ Shows only constant returns to scale
- 6406534213814. ✔ May Shows Increasing, decreasing or constant returns to scale
- 6406534213815. ✖ Has constant marginal product of labour
- 6406534213816. ✖ Has constant marginal product of capital

Question Number : 301 Question Id : 6406531250591 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Choose the correct alternative

Options :

- 6406534213817. ✔ First-degree price discrimination is the practice of attempting to price each unit at the consumer's reservation price
- 6406534213818. ✖ Third-degree price discrimination is the practice of offering consumers a quantity discount
- 6406534213819. ✖ Second-degree price discrimination is the practice of charging different uniform prices to different consumer groups or segments in a market
- 6406534213820. ✖ All of these

Question Number : 302 Question Id : 6406531250592 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Adverse selection occurs when

Options :

- 6406534213821. ✖ a person takes more risks that are not known to the life insurance company because he has life insurance
- 6406534213822. ✔ a person buys life insurance because he has a risky lifestyle that is not known to the life insurance company
- 6406534213823. ✖ a person is a risk lover
- 6406534213824. ✖ pregnant women with health insurance make more doctor visits than uninsured pregnant women

Question Number : 303 Question Id : 6406531250593 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Moral hazard occurs when contracts are written in such a way that

Options :

- 6406534213825. ✖ the interests of agent and principal converge
- 6406534213826. ✔ the interests of agent and principal diverge
- 6406534213827. ✖ agents will wish to maximize the principal's utility